TIPS & TRICKS TO AVOID OVERTRADING

The Chart Guys

"I should have just held". "All I had to do was sit on my hands". How often do you look back at a trade and think "If I hadn't tried to be so fancy, or if I hadn't been so impatient, the trade would have worked out ok"?

One of the biggest pitfalls of shorter time frame trading is that people think they have to actively be in a trade all the time, or be constantly clicking in and out of trades or else they are not "doing enough". Instead, the intense desire to always be actively doing, rather than intentionally not doing leads to overtrading, and overall worse trading results. There are several ways in which we can overtrade, causing increased anxiety, and worse results in our trading.

1. Micromanaging a position

We see this the most often in trending markets and trend days. On a trend day, rather than holding a position with the trend, traders will often try to scalp with the trend, and also counter trend trade for every dip. Essentially rather than just going with the flow, they are trying to capitalize on every little pullback, and time every pop. By the end of the day, trend days usually leave people exhausted doing this, instead of just leaving a trade on for the entirety of the trend. As the saying goes, the trend is your friend. Rather than try to stop yourself from overtrading on a trend day, focus on tools that will help you determine whether or not the market is more likely to be a trend day.

If you are set up for that prospect, then the desire to overtrade will naturally decline. Market internals, opening price range, equilibrium breaks are all tools and patterns we can use to determine if the most likely scenario is a trend day.

The same goes for swing trades. Determine the time frame you are trading the swing, and shut off the smaller time frames. Watching a two minute chart when swinging a weekly position is only going to increase the chances of overtrading. Oftentimes people will see the 5 minute timeframe overbought and be worried to enter a position on the weekly, only to see

it run from them with no clear entry. Or the reverse, they exit a position because it looks too extended on short timeframes only to see it keep going in line with their original trade plan. It is important to clearly define the purpose and time frame of each trade before entering. Writing down this plan will improve your odds of overtrading your position.

If you want to trade the same ticker or coin on several timeframes, separate out your positions into those time frames, so that you always have your core for the longer one, and know exactly how much is intended for each individual trade.

2. Trading too many times

The second type of overtrading is simply taking too many trades in a given day. Constantly jumping in and out of trades, rabidly searching for new hot tickers and setups when one doesn't work out, and at the end of the day feeling like all that time was wasted as the results just don't seem to match how much effort was put in to create them. An example of this would be taking 30 trades in a day only to end breakeven, when you were up a day maker after the first 2 or 3. Or continuing to take losing trades in a day in order to "make back" what you lost. How can you work to limit this? Through a little preparation.

Rather than scolding yourself each time you overtrade, take a look at the exact steps that often lead into overtrading. If you can identify the steps that lead you to overtrading, you can preemptively put measures in place to slow yourself down when you find yourself in the overtrading spiral. Each time you reach a certain step on your path to overtrading, a road block should come up to force a stop. Two losing trades in a row? Go for a 30 minute walk. Feeling a little euphoric on a hot streak? Splash some cold water on your face to cool you off. For some people these measures can be even more extreme. Having someone else have passwords to change out on your account if you've traded too much. Professional traders have a manager that limits their risk or stops them out if they're taking on too much risk, if the professionals need these measures, then individual traders would be wise to do the same.

Preparation before the trading day will also increase your chances of sticking to your trading plans. Writing out the tickers you intend to play, and the criteria for your trade to trigger will help focus yourself to best possible setups. When you're on a diet, you should not go to the grocery store hungry, because it will increase your chance of buying junk food and sabotaging your diet. If you come to the trading day with no preparation, no plans for the day, no levels to play - you will find it more enticing to try and force trades that are not well thought out - increasing your chance of frustration.

3. FOMO and Dopamine

The third of overtrading is somewhat of a cross between the first two. It is just the need to be in a trade all the time. This type is related to our psychology and physiology. Fear that moves will play out without us, and the dopamine that is released when we enter or anticipate a trade. After exiting a trade, our dopamine levels will drop below their regular baseline before returning to their mean. In this time, we can physiologically crave an increase in dopamine to get back to even our state of normal. In this instance, by recognizing our physiology we can mitigate its effects. If after a trade, you start to feel the need to immediately re-enter another trade, have a sticky note on your desk to remind yourself that depressed dopamine will cause you to enter another trade prematurely, and it's only fear that makes you believe you can't find another quality setup. Have your checklist for trade entry criteria right below. Just by recognizing this alone, you will slow yourself down from re-entering trades based on physiology, and remember to enter trades based on logic and A+ setups.

Key Takeaway

> **The key to mitigating overtrading is not to pretend like it can never happen to us, or that somehow with will power alone we can stop doing it cold turkey. Rather, we should accept and anticipate that even though we try our best, we will continue to be challenged by the urge to overtrade. Once we accept that the challenges will come our way, we can put into place procedures that can help us at each step, to face the challenges head on rather than attempt to avoid them altogether.**